Economics - K-12 Level Assessment 9 Total Marks: 40 Answer all questions.

Multiple Choice (10 marks)

1. In an oligopoly market, firms
   (a) cannot earn economic profits
   (b) are interdependent
   (c) are not subject to antitrust legislation
   (d) are large in number
2. If the demand for grapes increases simultaneously with an increase in the supply of grapes, we can say that
   (a) equilibrium quantity rises, but the price change is ambiguous.
   (b) equilibrium quantity falls, but the price change is ambiguous.
   (c) equilibrium quantity rises, and the price rises.
   (d) equilibrium quantity falls, and the price falls.
3. Suppose you observe an economy where prices are falling and real GDP is rising. This may have been caused by
   (a) stagflation.
   (b) an advance in technology.
   (c) an increase in government spending.
   (d) a decrease in government spending.
4. Which of the following is a predictable advantage of expansionary monetary policy in a recession?
   (a) Decreases aggregate demand so that the price level falls.
   (b) Increases aggregate demand which increases real GDP and increases employment.
   (c) Increases unemployment but low prices negate this effect.
   (d) It keeps interest rates high which attracts foreign investment.
5. Stagflation is the result of
   (a) a leftward shift in the aggregate supply curve.
   (b) a leftward shift in the aggregate demand curve.
   (c) a leftward shift in both the aggregate supply and aggregate demand curves.
   (d) a rightward shift in the aggregate supply curve.

True / False (10 marks)

Answer True or False

6. True or False: Cyclical unemployment is caused by seasonal changes in demand, such as holiday shopping periods affecting grocery stores.
7. True or False: A decline in the birth rate directly results in a permanent increase in a nation's productive capacity by reducing future labor supply.
8. True or False: Opportunity cost refers to what you give up when choosing one alternative over another.
9. True or False: All services provided by physicians are counted in GDP, regardless of payment methods.
10. True or False: A perfectly competitive firm must shut down if the price falls below average total cost in the short run.

Long Form Response (20 marks)

Answer each question with a clear and complete explanation.

11. Discuss how rising price levels impact individuals with fixed money incomes, analyzing the challenges they face and potential strategies to mitigate these effects.
12. Discuss the characteristics of oligopoly in economics and explain why the relationship P = MC does not typically apply to this market structure.

End of Paper